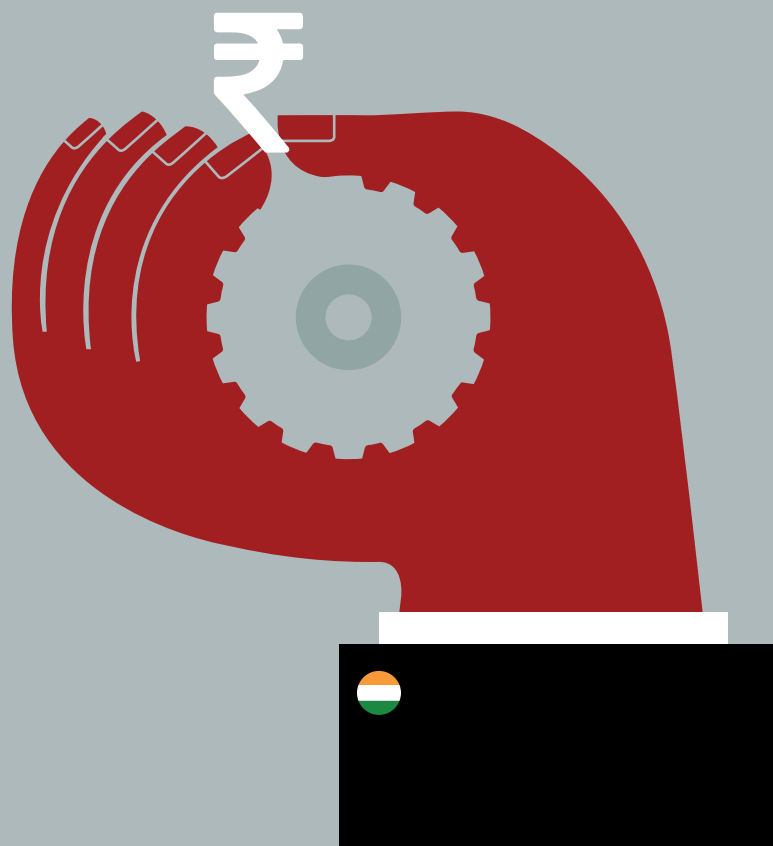


ILLUSTRATION BY RAJ VERMA



business-to-customer MSMEs.

When small businesses work with large companies, their productivity and that of their larger partners benefit. For example, automotive MSMEs gain operational proficiency through systematic interactions with productive original equipment manufacturers (OEMs), and small software developers benefit from talent and capital ecosystems seeded by larger companies.

And the benefits flow both ways. In two-thirds of the sub-sectors studied, the productivity of MSMEs and large companies is in lockstep. This interdependent relationship is even more pronounced in manufacturing, where productivity levels of MSMEs and large companies

are correlated across countries, in about 80% of the 24 sub-sectors analysed. This has important implications for how to approach MSMEs' relatively low productivity. Governments have tended to tackle it by creating incentives, quotas, or protections to tilt the balance towards either smaller enterprises or, indeed, larger ones.

But our evidence of the win-win dynamic, where the productivity of both MSMEs and large companies goes hand-in-hand, suggests a different approach is merited—creating the right economic fabric for all companies. So beyond conventional policies focussed on MSMEs, efforts should include strategies to build “collective productivity”

by strengthening networks and interactions between large and small businesses.

Big firms can help MSMEs in their networks to build digital and R&D capabilities as well as an ability to develop the skills of their workforce. By showing lenders that an MSME is part of a settled network, large companies can help that MSME gain access to finance. For their part, MSMEs can proactively pursue relationships not only with large companies but with each other. An OECD study of SMEs operating in Asean economies found that they perform better when they are allied with large enterprises, and also when they strike partnerships with other MSMEs.

In India, some of the highest potential to create value lies in sectors and sub-sectors where large companies are highly productive and where building networks between MSMEs and large companies can help. Other high-potential sub-sectors are those where both small and large firms lag behind on productivity. In these cases, policy that aims to help both together, including, for instance, a transparent and fair regulatory framework, combined with action to improve infrastructure, such as reliable logistics networks, access to basic utilities like uninterrupted power supply, and the availability of 5G, would be a way forward.

Pulling this off is not easy and requires granular understanding of MSME productivity in order to tailor approaches. The potential is sizeable, but efforts to capture it need to be thoughtful and targeted in a way that can create a win-win for all companies—small and large. **BT**

Anu Madgavkar is a Partner and Kanmani Chockalingam is a Fellow with the McKinsey Global Institute. Views are personal